



The World Bank and ‘Maximizing Finance for Development’: talk the talk but not walk the walk

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Abstract

Can the World Bank effectively mobilize private finance to developing countries to support climate change transition? This paper demonstrates that the World Bank’s market-based approach, exemplified by its Maximizing Finance for Development (MFD) approach, under-serves areas with a higher need for mitigation and adaptation finance. As such, MFD seems more aligned with donors’ interests in climate finance burden sharing, than with recipients’ needs. While the World Bank now ‘talks the talk’ of effectively leveraging private development finance, findings on MFD show that the organization does not yet ‘walk the walk’. The paper uses Qualitative Comparative Analysis to show that the MFD agenda is leading the World Bank to systematically ignore countries with low levels of development, poor governance structures, and higher levels of climate risk. By showing that the Bank’s MFD approach is insufficient to incentivize private investment in the countries that need adaptation and mitigation finance the most, this article contributes to the critical scholarship on the World Bank that highlights its tendency to behave more like a financial institution than as a development agency, to the detriment of the most vulnerable global populations.

Keywords Climate change adaptation · Climate finance · Climate change mitigation · Private finance · Sustainable development · World Bank

Introduction

The climate emergency is the most pressing crisis facing the political world today. Global average temperatures have risen by 1.2 °C from their pre-industrial averages, and significant changes are needed to limit warming to the Paris Agreement range of 1.5–2.0 °C. Here, I extend the focus on international institutions and climate governance by systematically analyzing the role of the World Bank within

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the climate change regime. I specifically assess the tension between need- and market-based distribution of climate finance, as manifested through the Bank's Maximizing Finance for Development initiative.

The role of transnational climate finance in supporting climate justice remains heavily contested. The UN Framework Convention on Climate Change acknowledges the need for advanced industrialized states, in recognition of their role in causing 'loss and damage', to provide funds to global South partners (Vanhala and Hestbaek 2016). However, criticism continues to be made of the failure to meet commitments, and the low targets being set (Roberts et al. 2021).

Here, I explore the extent to which the World Bank can function as a tool for effectively mobilizing private climate finance to the global South. To do this, I collect information from the World Bank project documents to identify cases that are aligned with this strategy and then use Qualitative Comparative Analysis to identify the 'causal pathways' that can promote or inhibit countries' engagement with MFD. I find that the World Bank has had a limited impact in mobilizing private finance to those developing countries with a greater need for climate change mitigation and adaptation finance. While the World Bank set out to prove that its borrowing countries could fund their mitigation and adaptation needs from the private sector, the MFD approach shows how difficult it is to align private finance with the needs of developing countries.

My contribution is twofold. Empirically, I show the limited impact of the World Bank's efforts to mobilize private finance to countries in need of funding. Specifically, I show that MFD systematically focuses on its more developed borrowers and those with lower levels of climate vulnerability. Secondly, scholarship on the World Bank points towards the existence of a long-standing tension at the heart of the organization given its nature of being both a bank and a development agency thus being forced to balance its donor's interests and its recipient needs. As such, whether lending for environmental or social purposes, the World Bank has been criticized for tending to privilege the bank-like approach (Rich 1994; Gutner 2002; Clegg 2017). Theoretically, I contribute to this debate by suggesting that the logic and rhetoric underpinning MFD is an attempt by the World Bank to 'square the circle' by identifying interventions that both reduce climate change vulnerability and offer a balance between risk and reward capable of attracting private investment. Overall, I argue that this market-based allocation promotes resource flows that are in tension with a more needs-based approach. This shortcoming of the MFD approach highlights the importance of alternative mechanisms to support climate justice.

In developing this line of analysis, I use the following structure. In the first section, I review the literature on the structural tension between the World Bank's role as a bank and as a development agency. Then I provide a brief overview of private capital mobilization and the financial instruments the World Bank uses to this effect. The next two sections introduce, respectively, the variables and data sources used to operationalize the study and the analytic approach and methodology. In the final section, I present and discuss the results of my analysis, which indicate that MFD is not targeting the countries that are in most need of climate finance.



Finance versus development: squaring the circle at the heart of the World Bank

Scholarship on the World Bank identifies a historic tension between the organization's bank-like tendencies and the fulfilment of its overarching mission. After first reviewing key contributions in this regard, I engage with the work of Michaelowa et al. (2020) and Michaelowa and Michaelowa (2011) that, in the realm of climate change, the Bank was finding a *modus operandi* that supported a partial accommodation of these aims through lending on its account and through donor state-supplied Trust Funds. My empirical work serves to extend these insights, by showing that the attempts to catalyze and mobilize flows of private finance climate through MFD seem to demonstrate poorer targeting efficacy. In contrast to some World Bank own account lending and Trust Fund interventions, the Bank's turn to private finance seems to reproduce the privileging of the bank-like agenda over its development agency mission.

Private finance has since the late 2000s been presented as a vital pillar of climate change funding for the global South, to support adaptation and mitigation efforts and to acknowledge the wrongs from historic loss and damage caused by the global North. Given that the World Bank and other development finance institutions now constitute major mechanisms for facilitating climate finance to developing countries, attention has turned to identifying and analyzing their emergent approaches (Brunner and Enting 2014; Griffith-Jones et al. 2020; Mazzucato and Penna 2016). To gain insight into possible constraints surrounding the achievement of this role, I turn to studies of the World Bank that offer critical interrogation of the organization's dual role as a development agency and financial institution.

Scholarship on the World Bank has been quick to notice that the organization struggles to cope with the fact that it has to act simultaneously as a development agency and a bank. Put differently, the World Bank struggles to balance its donors' interests and its recipient needs. As a development agency, it is required to focus its activities on fulfilling its twin goals of ending extreme poverty and promoting shared prosperity in a sustainable way. As a bank, however, it is driven by the structural need to pursue lending opportunities that have the potential to generate large revenue streams. Critics have identified a tendency of the World Bank to prioritize its bank-like side over its development agency-like side.

Among the environmental critics of the World Bank, this line of argument is closely associated with the works of Rich (1994), Gutner (2002) and Wade (2002). For instance, Rich (1994) argues that the environmental reforms that occurred in the World Bank during the 1980s and 1990s were only a façade and that behind them, the Bank continued to do what it had always done. Gutner, on the other hand, argues the more demand-driven or 'bank-like' a development bank is, the less likely it is to be involved in efforts to help governments reform their policies in ways that benefit the environment. As such, she calls this internal tension between bank and development institution, the fundamental conflict between multilateral development banks (Gutner 2005). Finally, Wade (2002)



argues that when the Bank strays too far from its bank-like activities for the benefit of empowering the poor and providing environmental protection it incurs the wrath of its donor member states. Parallel lines of critique have been made to operational areas beyond the environment. For instance, focusing specifically on the evolution of the Bank's approach to housing, Clegg (2017) demonstrates that over time the organization became notably more bank-like in its approach. Whereas through the initial decades of World Bank lending for housing, there had been a prominent focus on directly improving the conditions of lowest-income groups, more recently the prioritization of mortgage market expansion represented a drift toward interventions that would benefit mainly those on moderate and higher incomes with the ability to access such loans. Supplementary insights from, Gamso and Dimitrova (2023) and Weaver (2008) also point towards systematic difficulties across the organization in prioritizing aspects of its development agency mission.

Scholarship on climate change regime complex highlights the benefits that can accrue from a decentered approach to addressing the global challenge, which sees multiple institutions flexibly altering practices to support and prioritize sustainable transition (Keohane and Victor 2011). Building from these insights, I here identify additional challenges that may come through such decentered governance, with findings showing that institutional pathology in the institutions that participate in this regime complex needs to be guarded against.

Through this study, I build on the works of Michaelowa and Michaelowa (2011) and, more closely, Michaelowa et al. (2020). First, Michaelowa and Michaelowa (2011) adopt a 'donor interest (bank) vs recipient needs (development agency)' framework to explore the role that the World Bank plays in the carbon markets facilitated through the Clean Development Mechanism (CDM) and find that relative to private actors' behavior within carbon markets, the Bank's CDM displayed a marginally stronger tendency to invest in schemes that benefitted lower-income states, and that brought together emissions reductions with wider development impact. Elsewhere, Michaelowa et al. (2020) explore climate mitigation and adaptation trust funds in the World Bank in which donor states shape the distributional aims and processes. They find that the World Bank indiscriminately disburses its funds to higher-income countries, which makes sense in the case of mitigation funds, but which, in the case of adaptation funds, acts against the World Bank's claims of acting like a pro-poor development agency as it has not translated into financial support for the poorest and most vulnerable nations.

Overall, then, Michaelowa and Michaelowa (2011) and Michaelowa et al. (2020) suggest that, through its CDM and Trust Fund operations, the World Bank had been delivering climate change-related interventions that displayed some alignment with its development agency mission, privileging (at least in part) the needs of climate vulnerable countries. The findings from this paper present a more negative assessment, showing that private financing flows through MFD tended away from lower-income and climate-vulnerable countries. First, Michaelowa et al. (2020) focus solely on Multilateral Development Bank trust funds. Trust funds are financing tools set up with contributions from one or more non-governmental and private partners to address specific development priorities. Thus, while Michaelowa et al. (2020) find



this effect in the case of *ad hoc* climate finance allocation via trust funds, I extend our understanding of the bank vs development agency tension in the World Bank by showing that this dysfunction extends to the World Bank corporate strategy and is more systematically integrated into its core financing. In addition, crucially, my findings show contrasting results to those of Michaelowa et al. (2020). Specifically, when analyzing the role that climate vulnerability plays in disbursing adaptation finance, they find that vulnerability coefficients tend to be negative, suggesting that trust funds allocate more adaptation finance to those countries that are more vulnerable to climate change. By contrast, I find that the World Bank is unable to mobilize finance through MFD to countries with higher levels of climate vulnerability.

These findings can be read as representing a 'reversion to type', with the re-emergence of behavior that has been identified and criticized across a long history of the organization. These findings can also be taken to highlight the difficulty of influencing the flow of private finance; to risk-sensitive private financial institutions and investors, countries with lower incomes and higher climate vulnerabilities will likely represent less attractive opportunities. Consequently, the Bank's MFD agenda would seem to have catalyzed an extension of the bank-like versus development agency tension.

Mobilization of private capital to maximize finance for development

In 2015, members of the United Nations adopted the Paris Agreement which reaffirmed the commitment made by developed countries in Copenhagen in 2009 to support developing countries by mobilizing USD 100 billion and extending its deadline to 2025 (OECD 2017). In addition, in 2015 they adopted the Sustainable Development Goals (SDGs), which recognized that eliminating global poverty and improving human well-being are inextricably linked with protecting the planet by tackling climate change. Given these lofty goals, the annual investment needed to fund sustainable development goals in the Global South was estimated to range between \$3.3 trillion and \$4.5 trillion (UNCTAD 2014).

However, public levels of climate change-related investment and mobilization remained short of these goals, especially in a period where governments were seeking to reduce pressure on their balance sheets as a result of the global financial crisis. Consequently, the discourse focused on increasing private finance and the merits of private sector involvement in infrastructure provision through Public-Private Partnerships (PPPs) as a potential solution to bridge this funding gap in mitigation and adaptation finance (Bisaro and Hinkel 2018; Mathews et al. 2010; Moszoro et al. 2014; UNEP 2016).

Given these problems, multilateral development banks (MDBs) became crucial for addressing the mitigation and adaptation needs of developing countries (Brunner and Enting 2014; Mazzucato and Penna 2016). In this context, the World Bank Group (the Bank) adopted what they coined the 'cascade approach' as a three-step approach to creating markets and leveraging private financing. First, it provides policy de-risking to mobilize private finance by promoting policy reforms to address market failures and other constraints on private investment. Secondly, if risk remains



high, it promotes financial de-risking through guarantees, other risk-sharing instruments, and public-private partnerships (PPPs). Finally, if the previous steps fail to create markets, it allows for the use of public resources (World Bank 2017a: 5-6). In 2017, the Bank instituted the cascade approach as their corporate strategy under the umbrella of ‘Maximizing Finance for Development’ (MFD).

Here it is important to note that MFD as a corporate strategy, is a coordinated approach of the World Bank to align the strategy of all of its institutions (namely, the International Bank for Reconstruction and Development (IBRD), the International Development Association (IDA, the International Finance Corporation (IFC); and that of the Multilateral Investment Guarantee Agency (MIGA)) where private solutions are to be favored in all contexts and not just an *ad-hoc* instrument to finance projects in middle-income countries. For example, it also encompasses the IDA’s Private Sector Window (PSW), a facility that places IDA resources under the control of the IFC and MIGA to maximize private sector investment in the poorest countries with a focus on fragile and conflict-affected states (World Bank 2017b: 8; World Bank 2017c).

As I suggested previously, this new corporate strategy can be seen as an attempt by the World Bank to resolve the tension between its dual role as a development agency and financial institution. On the one side, it addresses recipient country needs by helping them bridge the current funding gap by optimizing limited development resources by attracting private sector financing and solutions that can provide value for money. On the other hand, it addresses its donor interests by mobilizing private capital to areas that are commercially sustainable using guarantees and other instruments that help mitigate the risks that investors would face so that these investments can provide value for money (World Bank 2017b: 1–2). As such, it adopts a ‘market-based understanding of sustainability’ (Park 2010) geared to maximizing both financial and environmental returns on investments in a win-win scenario by crowding in private investment to optimize the impact of the limited public resources available in order to address the investment gap at no cost to society (Cordella 2018).

However, this attempt by the bank to solve its bank and development agent tension mirrors the logic of statecraft through derisking. Here the dilemma is between public and private investment where it is argued that public investment alone cannot meet the levels of climate-related investment, but equally that private finance alone cannot and will not invest in such areas given the risks they pose. The derisking state solves this dilemma through partnerships where public funds are used as risk-sharing instruments to subsidize private finance (Gabor 2021). However, as I have shown, this partnership has had limited success in resolving both of these dilemmas.

With MFD, the Bank applies this derisking logic through two approaches. First, the mobilization of private capital (PCM) where the Bank uses the assets of its balance sheet to support the financing of projects but funding does not flow onto its balance sheet, and catalyzation of private capital (PCC), which is focused on improving countries’ business environments through advisory work or development loans focused on policy reforms to liberalize their capital markets or other reforms to open up markets (IEG 2020: 11).

On the other hand, the Bank’s PCM approaches are more intricate and can be one or multiple of the following instruments: mobilizing debt by acting as lead lender



in a loan syndicate or through its Managed Co-Lending Portfolio Platform (MCP) in which it pools private resources to use in loans; mobilizing equity through equity syndication or through the IFC's Asset Management company which functions similarly to the MCP platform but in the case of equity; mobilizing bonds either through the issue of local currency bonds or through its Green Bond Fund which the World Bank launched in partnership with asset manager Amundi; mobilizing through full or partial guarantees to de-risk private investment, and through advisory mobilization through Public-Private Partnerships (PPPs).

The subsequent sections elaborate on the independent variable or 'outcome' that I am trying to explain, the sources of data underpinning the main explanatory variables, and the analytic approach I follow.

Data and data sources

The main outcome I am trying to explain is the volume of climate financing flowing to particular countries through the World Bank's MFD initiative. There are, however, several barriers to operationalization. World Bank databases neither systematically identify cases that are targeted at generating climate change impacts, nor identify projects that align with the MFD agenda. Furthermore, while some World Bank projects include specific components to address climate change, in other cases these are embedded alongside other objectives as co-benefits and so are not classified as either mitigation or adaptation projects. Given the importance of climate co-benefits as incentives for developing countries to adopt climate-aligned projects (Hochstetler 2020) it was important to include those projects with climate co-benefits that were not classified with specific climate components as well. To mitigate some of these issues, and in line with Eisenstadt et al. (2021) and Michaelowa et al. (2020), I deployed a keyword-matching approach to identify the universe of MFD lending that was meaningfully targeted at climate change. Where project documentation text noted climate adaptation or mitigation as a primary target or as a significant co-benefit, I classified a project as representing a climate finance flow. Where project documentation text identified any of the PCM or PCC instruments from Table 1 as the main sources of funding, I classified the project as aligned with the MFD agenda. This approach makes it possible to estimate the focus of the projects and in line with the literature on aid allocation and climate policy (Bagchi et al. 2016; Knill et al. 2009), I employ this approach rather than focusing on disbursements to better capture World Bank intent given that disbursements (along with other policy outputs) can be affected by several additional factors. Finally, to move from an absolute measure of financial flows to one that was more meaningfully comparable across countries, I recalibrated the climate-aligned MFD figure as a proportion of total World Bank climate change projects in a country.

To specify the universe of cases, I drew on three of the Bank's diagnostic tools—the Country Partnership Frameworks (CPFs); the Country Private Sector Diagnostics (CPSD); and Infrastructure Sector Assessment Programs (InfraSAPs) and focused only on those with an explicit intention of applying the MFD tools in the country on sectors typically associated with climate change. I identified these



Table 1 Country sample selection

Country	Country code	Region	Diagnostic tool
Argentina	ARG	LCR	CPF
Benin	BEN	AFR	CPF
Burkina Faso	BFA	AFR	CPF, CPSD
Burundi	BDI	AFR	CPF
Cambodia	KHM	EAP	CPF
Cameroon	CMR	AFR	CPF
Ecuador	ECU	LCR	CPF
Egypt	EGY	MENA	InfraSAP
Ethiopia	ETH	AFR	CPF, CPSD
Ghana	GHA	AFR	CPF, CPSD
Guinea	GIN	AFR	CPF, CPSD
India	IND	SAR	CPF
Madagascar	MDG	AFR	CPF
Mauritania	MRT	AFR	CPF
Mauritius	MUS	AFR	CPF
Myanmar	MMR	EAP	CPF, CPSD
Nepal	NPL	SAR	CPF, CPSD
Niger	NER	AFR	CPF
Papua New Guinea	PNG	EAP	CPF
Paraguay	PRY	LCR	CPF
Seychelles	SYC	AFR	CPF
Solomon Islands	SLB	EAP	CPF
Tanzania	TZA	AFR	CPF
Thailand	THA	EAP	CPF
Vietnam	VNM	EAP	CPF
Zambia	ZMB	AFR	CPF

AFR Africa, *EAP* East Asia and the Pacific, *LCR* Latin America and the Caribbean, *MENA* Middle East and North Africa, *SAR* South Asia, *CPF* Country Partnership Framework, *CPSD* Country Private Sector Diagnostics, *InfraSAP* Infrastructure Sector Assessment Program

through an iterative keyword-matching process to incorporate all the relevant sectors. Specifically, the sectors I reference are energy, sustainable agriculture, water management, resilience to climate shocks, sustainable fisheries, green housing, transport, waste management, and sustainable tourism. The country case selection appears in Table 1 and the resulting distribution can be seen in Fig. 1.

First, I test a series of macroeconomic conditions. Economic development has been identified as a factor linked to environmental performance (Bayer et al. 2015; Lesnikowski et al. 2013; Liefferink et al. 2009; Massey et al. 2014; Tobin 2017). Here we could expect that countries with higher available national resources may be more willing to allocate money to climate issues and, as such, a lack of financial resources derived from underdevelopment can be seen as a



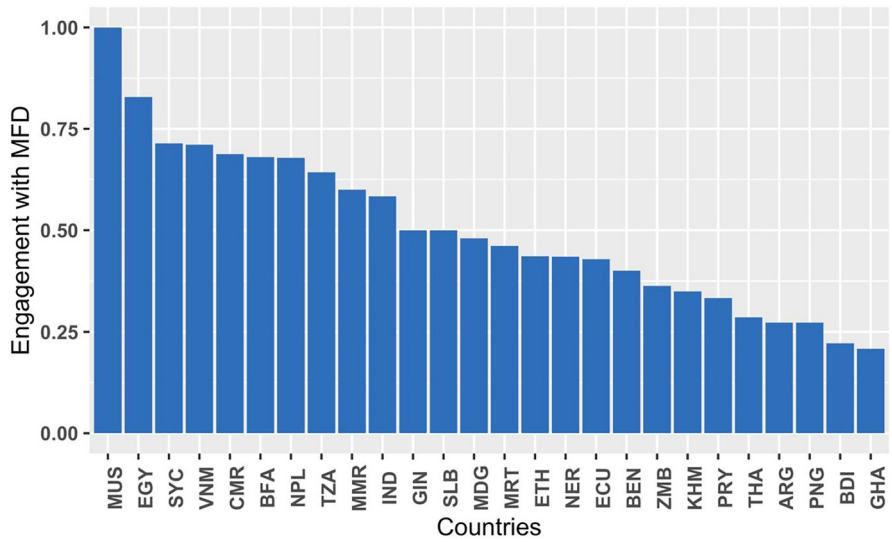


Fig. 1 Engagement with MFD initiative

barrier to climate-aligned policies. As such, I expect wealthier countries to have higher participation in MFD.

Related to this condition, the association between a developed financial sector and a climate-aligned developed has been noted previously (Ng and Tao 2016; Tian 2018). As such, given that the World Bank prefers to use complex financial instruments such as blended finance and PPPs that countries with under-developed financial sectors might lack the capacity to work with (IEG 2020: 73), theoretically, then, the more financially developed country is, the more engagement with MFD is expected to have.

Thirdly, MFD prioritizes private investment in place of public investment to optimize the limited fiscal space that indebted countries might have (World Bank 2017b). Moreover, given that high levels of debt-to-GDP ratio are associated with a lack of efficiency of government spending (Abiad et al. 2016), it is plausible to expect that countries with higher levels of debt will engage more with MFD to maximize their strained public finances.

Lastly, given that, in theory, a country with a more hospitable investment climate can mobilize more capital given that private investors have a lower boundary for the risk they can assume (Afonso et al. 2007). I theorize that countries with better investment climate will have greater participation in MFD.

I also test conditions regarding the institutional makeup of states given that state institutions can play important roles as either enablers or barriers of climate-aligned development. In this regard, given that characteristics commonly attributed to effective governance such as the absence of corruption, the rule of law, a strong civil society, political stability and state capacity appear to be necessary conditions for robust environmental policies (Christoff and Eckersley 2011; Eisenstadt et al. 2019; Fredriksson and Svensson 2003; Povitkina 2018), I expect



that countries with higher degrees of governance have more engagement with MFD. Finally, given path dependence, we can expect that if states are implementing certain infrastructure policies, they will be more open to doing so again in the future (Steen and Hansen 2018; Vörösmarty et al. 2021). Given that MFD relies on Public-Private Partnerships to mobilize capital, we might expect that if a country has had prior experience with PPPs, it would engage more actively with the MFD.

Given that the World Bank uses related macroeconomic and institutional characteristics to gauge a country's 'MFD readiness' (World Bank 2018), I expect that combinations of such conditions will be necessary to promote a country's level of engagement with MFD. Conversely, I expect the lack of a combination of these conditions to inhibit countries from engaging with the Bank's projects.

In addition to these macroeconomic and institutional explanatory variables, it is also necessary to consider variables that have a specific impact on a country's climate-specific public policies. First, it is generally considered that international commitments can rightfully be regarded as important tools for climate governance, given their role in mobilizing domestic action, increasing legislative action, and institutionalizing climate change policy objectives (Christoff and Eckersley 2011: 433, Never and Betz 2014; Fankhauser et al. 2016; Harrison and Sundstrom 2010; Röser et al. 2020; Tingley and Tomz 2020). Secondly, it is suggested that states that face steep economic costs given their propensity for climate-related risks can be expected to be leaders in climate mitigation (Andonova and Sun 2019; Buys et al. 2009; Christoff and Eckersley 2011; Dolsak 2001). As such, I argue that it is plausible that the level of climate risk a country faces will influence its environmental policy and stance towards the World Bank's MFD approach. Finally, the converse reaction can be expected when countries face high costs of mitigation arising from high dependence on fossil fuels (Harrison and Sundstrom 2010; Never and Betz 2014; Mildemberger 2020).

As such, I theorize that higher policy ambitions, higher levels of climate risk and lower fossil fuel dependency can be sufficient (within the necessary contexts) to promote engagement with MFD. Conversely, lower climate ambitions, less climate risk and more dependency on fossil fuels will be sufficient to inhibit the MFD agenda in those countries.

Table 2 lists all the indicators and the data sources used to operationalize the independent variables or conditions as well as the data sources I used. Table 3 shows the data for the causal conditions and the outcome for each country. Given that both the academic literature and the World Bank, consider any of these as potential variables that influence a country's climate policy, the expectation is that a combination of conditions, rather than one condition in isolation, can explain the outcome. Moreover, given the variation of countries under analysis, I expect that different combinations can result in the same outcome for different countries. Thus, the expectation is that engagement with MFD is both context-dependent and equifinal. For these reasons, I will rely on fuzzy-set analysis. In the following section, I elaborate on this methodology and how it helps to address such questions.



Table 2 Variables and indicators

Variable	Interval-scale indicator	Variable type	Source	Period covered
Development level	GDP per capita (current \$)	Remote condition	World Bank WDI	2017–2021
Level of debt	Debt to GDP ratio	Remote condition	IMF World Economic Outlook	2017–2021
Governance	Worldwide Governance Indicators	Remote condition	World Bank WGI	2017–2020
Investment climate	Net inflows (% of GDP)	Remote condition	World Bank WDI	2017–2021
Financial development	Index of financial development	Remote condition	IMF IFD	2017–2019
Path dependency	Investment in PPP (% of GDP)	Proximate condition	World Bank PPI Database	2017–2021
International commitments	SDG-NDC links	Proximate condition	World Resources Institute	–
Source dependency	Fossil fuels as energy source	Proximate condition	IEA Energy Balances	2017–2019
Climate risks	Climate Risk Index	Proximate condition	Germanwatch CRI	2000–2019

WDI World Development Indicators, *WGI* Worldwide Governance Indicators, *IFD* Index of Financial Development, *PPI* Private Participation in Infrastructure database, *IEA* International Energy Agency, *CRI* Climate Risk Index



Table 3 Data matrix of the countries and data

Country	Outcome	Remote conditions				Proximate conditions				
	Engagement with MFD (<i>mfd_eng</i>)	Economic development (<i>econ_dev</i>)	Level of debt (<i>debt_gdp</i>)	Governance (<i>gov</i>)	Investment climate (<i>fdi</i>)	Financial development (<i>fin_dev</i>)	Path dependency (<i>pd</i>)	International commitments (<i>int_comm</i>)	Climate risk (<i>cl_risk</i>)	Fossil fuel (<i>fossil_fuels</i>)
Argentina	0.27	22849.14	82.90	49.07	1.63	0.32	0.92	3.90	77.00	Net Import
Benin	0.40	3395.58	43.99	17.70	1.40	0.11	0.00	15.58	139.83	Net Import
Burkina Faso	0.68	2244.82	42.17	35.10	0.89	0.12	4.81	11.04	101.00	Net Import
Burundi	0.22	781.06	58.88	28.40	0.08	0.15	0.50	9.09	74.50	Net Import
Cambodia	0.35	4617.07	32.00	17.33	13.30	0.17	5.93	38.96	36.17	Net Import
Cameroon	0.69	3861.47	41.69	26.27	2.10	0.10	5.75	16.23	128.17	Net Export
Ecuador	0.43	11629.53	54.13	28.71	0.99	0.17	1.38	0.00	94.17	Net Export
Egypt	0.83	12350.43	92.58	25.46	2.75	0.29	2.23	27.27	142.17	Net Import
Ethiopia	0.44	2727.66	55.02	41.52	3.45	0.12	0.31	17.53	66.50	Net Import
Ghana	0.21	5688.82	68.35	27.25	4.56	0.15	1.96	11.04	101.33	Net Export
Guinea	0.5	2513.93	40.56	42.18	2.51	0.09	2.80	11.69	159.83	Net Import
India	0.58	6738.19	78.40	29.87	1.81	0.43	1.41	20.78	38.50	Net Import
Madagascar	0.48	1596.05	44.29	23.01	3.52	0.11	2.10	11.69	34.67	Net Import
Mauritania	0.46	6026.68	56.87	20.32	4.92	0.11	4.41	7.14	82.00	Net Import
Mauritius	1.00	22133.31	83.02	36.70	3.12	0.47	0.00	18.18	124.17	Net Import
Myanmar	0.60	4752.25	43.85	61.58	3.82	0.12	3.04	11.69	10.00	Net Export
Nepal	0.68	3953.53	35.52	28.72	0.45	0.19	2.83	21.43	31.33	Net Import
Niger	0.43	1253.60	42.23	24.83	3.71	0.11	0.00	9.09	68.67	Net Import
Papua New Guinea	0.27	3865.42	41.01	27.59	-0.50	0.21	0.00	21.43	90.83	Net Export
Paraguay	0.33	12975.58	28.38	37.47	1.51	0.17	2.15	4.55	67.00	Net Import
Seychelles	0.71	30008.44	66.41	43.36	15.15	0.35	0.00	17.53	160.33	Net Import



Table 3 (continued)

Country	Outcome		Remote conditions				Proximate conditions			
	Engagement with MFD (<i>mfd_eng</i>)	Economic development (<i>econ_dev</i>)	Level of debt (<i>debt_gdp</i>)	Governance (<i>gov</i>)	Investment climate (<i>fdi</i>)	Financial development (<i>fin_dev</i>)	Path dependency (<i>pd</i>)	International commitments (<i>int_comm</i>)	Climate risk (<i>cl_risk</i>)	Fossil fuel (<i>fossil_fuels</i>)
Solomon Islands	0.50	2413.27	10.90	64.46	1.79	0.09	15.63	2.60	73.00	Net Import
Tanzania	0.64	2816.94	40.33	46.74	1.64	0.09	0.02	12.34	111.33	Net Export
Thailand	0.29	18516.25	46.51	28.45	1.08	0.71	1.97	14.29	29.00	Net Import
Vietnam	0.71	10388.66	42.64	40.85	6.15	0.38	8.34	33.12	35.67	Net Import
Zambia	0.36	3473.80	101.99	34.82	1.81	0.12	1.87	35.71	111.83	Net Import



Empirical approach

This section uses Fuzzy Set Qualitative Comparative Analysis (fsQCA) to examine the contextual variables and climatic variables that affect a country's engagement with private capital mobilization through Maximizing Finance for Development. The goal of fsQCA is to find necessary and sufficient conditions (independent variables) for an outcome (dependent variable) to take place (Schneider and Wagemann 2012). While statistical approaches seek to identify the net effects of independent variables on a dependent variable while holding all other variables constant, fsQCA aims to identify the complexity behind the interplay of conditions that informs an outcome and, although not without critics, it has quickly established itself in the fields of political science and international studies (Ide and Mello 2022).

Specifically, fsQCA is well suited for this paper because the number of cases does not allow for a robust multivariable regression analysis and because it allows for equifinality given its assumptions that multiple combinations of conditions (understood as alternate causal paths or 'recipes') may generate the same outcome (Ragin 2008: 54). In contrast to statistical research, fsQCA is built upon Boolean algebra where individual cases are graded with scores that range from 0 (the case is not a member of a set) and 1 (the case is a member of the set). In order to achieve this, fsQCA relies on a process called 'calibration' to translate raw data into a fsQCA scale. Once this step is completed the causal configurations that lead to an outcome are determined using the principles of Boolean algebra in which 'AND' denotes a conjunction of two or more sets, 'OR' denotes a disjunction, and 'NOT' denotes a negation (Ragin 2008).¹

Specifically, I employ a two-step version of fsQCA that relies on a distinction between remote and proximate conditions (Schneider 2019: 1115–1118). Remote conditions are understood as 'the context that influences an outcome'. In contrast, proximate factors are closer to the outcome and, as a consequence, can be said to explain the causal mechanisms of the outcome (Schneider 2019: 1114). This matches well with the previous distinction between MFD readiness conditions and the specific environmental conditions of each country. The first step in this protocol consists of finding whether a condition—or a group of two or more—is necessary for the outcome to occur. This step eliminates all those conditions that are not relevant to explaining the outcome. The second step analyses the remaining conditions and includes the so-called 'proximate conditions' and outputs different solution pathways or 'recipes' that explain the presence of the outcome (Schneider 2019: 1115–1118).

¹ Reference on how the process of calibration was carried out can be found in the supplementary online appendix



Table 4 Identification of context conditions

Outcome	Context	Consistency	Coverage	Relevance
Enable	<i>fin_dev</i> OR NOT <i>debt_gdp</i>	0.918	0.690	0.645
Enable	<i>econ_dev</i> OR NOT <i>debt_gdp</i>	0.957	0.660	0.561
Inhibit	NOT <i>gov</i> OR <i>debt_gdp</i>	0.919	0.657	0.522

fin_dev financial development, *debt_gdp* level of debt, *econ_dev* economic development, *gov* governance

Table 5 Solution pathways that promote MFD

Causal configuration	InclS	Raw Coverage	Unique Coverage
dev AND <i>int_comm</i>	0.910	0.305	0.123
dev AND NOT <i>cl_risk</i>	0.888	0.299	0.088
NOT <i>debt_gdp</i> AND NOT <i>cl_risk</i> AND NOT <i>fossil_fuels</i>	0.806	0.374	0.217
Overall solution	0.860	0.639	–

dev high development, *int_comm* strong international commitments, *cl_risk* climate risk, *fossil_fuels* dependency on fossil fuels

Results

The first step identified two contexts that enable engagement with MFD and one which inhibits it. These appear in Table 4.

Consistency expresses the percentage of cases where the outcome is present, the condition is present or the degree to which an outcome is a subset of a condition. A consistency threshold of 0.9 when evaluating necessity is recommended given that it is as close to 1.0 as a condition will achieve when addressing empirical realities (Ragin 2008; Schneider and Wagemann 2012: 143). On the other hand, the scores for coverage and relevance of necessity measure how trivial or not a condition is. The high coverage (> 0.6) and relevance (> 0.5) scores for the three contexts indicate that they are not trivial (Schneider 2019).

The second step consists of an analysis of sufficiency with the proximate conditions and the remote conditions that result from the analysis of necessity. Thus, conditions *fin_dev*, *econ_dev*, and NOT*debt_gdp* pass into the analysis sufficiency for the presence of the outcome while ~*gov* and *debt_gdp* would pass into the analysis for the absence of the outcome. For added simplicity, one can create new conditions out of them because they are functional equivalents ($C = A + B$) (Schneider 2019: 1117). In this sense, given that economically and financially developed countries exhibit characteristics akin to highly developed nations in the global north, I create the functional equivalent *dev* = *econ_dev* OR *fin_dev* to express this relationship. On the other hand, because the lack of effective governance and high levels of debt in developing countries have been linked to the 'highly indebted and poor countries' (HIPC) initiative, I create the macro variable *hipc* = NOT*gov* OR *debt_gdp* to express that countries have HIPC-like conditions (and many under consideration



Table 6 Solution pathways that inhibit MFD

Causal configuration	InclS	Raw Coverage	Unique Coverage
hipc AND cl_risk	0.781	0.744	0.593
hipc AND fossil_fuels	0.829	0.159	0.009
Overall solution	0.758	0.752	–
<i>hipc</i> HIPC-like contex, <i>int_comm</i> strong international commitments, <i>cl_risk</i> climate risk, <i>fossil_fuels</i> dependency on fossil fuels			

are classified as HIPC). The analysis of sufficiency results in the following solution pathways for the outcome (Table 5) and its negation (Table 6).²

Solution pathways in fsQCA are assessed through consistency scores and coverage scores. The first indicates how each solution is in line with the empirical evidence and it has been suggested that it is a similar—but not identical—measure to that of significance values in statistical research. The consistency scores of all the solution pathways presented are well above the 0.75 threshold that is suggested in the literature. The second indicates how much of the outcome is explained by the solution; in this case, there is no threshold for coverage given that solutions that explain a small amount of the outcome can be significant such as having a small but significant r^2 in statistical research (Ide and Mello 2022; Ragin 2008: 46; Schneider and Wagemann 2012: 232–234). In this sense, the high consistency and coverage scores for all the solution pathways are significant and indicate that they are strongly consistent and cover a large number of cases.

Discussion

Analysis for necessity revealed two contexts that foster engagement for maximizing finance for climate-aligned development. This finding reveals that financially or economically developed countries that have low levels of debt will be more prone to engage with this development initiative. My findings are consistent with scholarship that underlines the structural power that finance plays in constraining the policy space of developing economies (Hardie 2012; Jafri 2019; Musthaq 2021) given that well-developed financial markets (*fin_dev*) and fiscal discipline (NOT *debt_gdp*) are necessary to enable this rollout of private capital. Given that, as I mentioned MFD relies on complex financial instruments that countries with less developed financial sectors might lack the capacity to work with (such as blended finance and PPP) to mobilize finance, there is a burden on governments to create favorable conditions for investable long-term assets (Inderset 2021). Theoretically, less developed countries

² Analysis of sufficiency yields three solutions: a conservative solution with no simplifying assumptions, an intermediate one which simplifies the solution minimization based on our theoretical expectations, and a parsimonious solution which presents the most important conditions or ‘core conditions’ which cannot be left out from any solution. For this reason, here I present the parsimonious solution. The other solutions, as well as additional information on how the simplification was carried out, appear in the Online Appendix.



could be pushed to further liberalize their financial sectors and to limit public expenditure so as not to be denied vital sources of funding. More importantly, it shows that MFD is flowing towards countries with higher incomes as they are more profitable for investors.

Analysis of necessity also revealed that countries lacking good governance or having high levels of debt are not fertile ground for the MFD initiative. This finding challenges the adequacy of MFD given that it appears it is not targeting the countries it was originally intended to help. Since its inception in the 'Forward look' document, a special emphasis has been placed on using private capital mobilization to aid in the development of IDA countries affected by fragility, conflict, and violence (World Bank 2017a: 3). This suggests that MFD is not reaching those it intended to help.

My findings are, therefore, consistent with criticisms that blended finance instruments have a middle-income bias given the lack of interest that low-income and fragile countries generate in institutional investors (Bayliss et al. 2020). Moreover, findings are aligned with critics who claim that the PSW is not living up to expectations. Critics point out that the PSW only committed about a fifth of the resources at its disposal six months before the entire PSW was scheduled to be allocated and that during the IDA replenishing window, its resources were not increased, which reflected donor unwillingness to invest in this approach (Dimakou et al. 2021: 224–225). Taken together these findings confirm that the Bank's MFD initiative is biased toward higher-income and more stable countries that might not have the same issues accessing capital markets as do those on the lower end of the income and governance spectrum. This implies that by focusing its operations on the MFD initiative the Bank is again tilting toward its bank-like activities.

Additionally, these findings are problematic because they that the principle of 'common but differentiated responsibilities' or CBDR—a compromise between developed and developing states of who ought to 'take the lead' in reducing emissions and over questions of who ought to finance it is further being eroded.

The CBDR principle has long been assumed to be one of the underlying tenets of the climate regime since its recognition by the United Nations Framework Convention for Climate Change in 1992. This principle was instrumental in fostering global cooperation and catalyzing political negotiations by providing the basis on which the particular situation of countries in the global South was to be taken into account. However its relevance has been criticized given that developed countries never internalized it due to their dislike of the 'differentiated responsibilities' part and as such, have failed to effectively structure the climate regime (Depledge and Yarmin 2009; Kolmaš 2023; Kolmaš and Kolmašová 2023). Under MFD the responsibility lies not on developed countries to 'pay up' but, firstly on developing countries to liberalize financial sectors, improve the investment climate, and promote sound and sustainable financing practices to attract private capital to fund their climate commitments, and secondly on the private sector to provide the financial support. (World Bank 2017b: 2). How much further this strategy erodes this principle is still to be theorized and studied empirically.

Focusing now on the second step of the analysis, it shows three solution pathways or recipes for promoting engagement with MFD and two that inhibit it. Interestingly,



the third and the second solution pathways show that the necessary contexts that foster engagement with MFD must be combined with low levels of climate risk (Table 5). This result is supported by the first solution pathway in Table 6 that shows that countries with high risks of climate disasters have lower levels of engagement with MFD. In addition to this, two pathways that promote engagement with MFD and a pathway that inhibits MFD paint a complementary picture as how fossil fuels play a crucial role given that countries that do not rely on fossil fuels are more likely to engage in the Banks' strategy while countries that do depend on fossil fuels will show less engagement with it. As such, my findings suggest that MFD is inefficient in helping fossil fuel dependent economies transition to greener sources of energy.

These findings suggests that, despite the presence of the Bank's risk-sharing instruments, investors are still wary of potential green swans (Bolton et al. 2020) and are reluctant to invest in countries with high levels of climate risk. In the case of Zambia, for instance, it is estimated that every \$1 of concessional finance mobilized only 28 cents of private financing (Emery 2023). This is relevant because research has shown that the World Bank and other MDBs are incredibly effective when directing their aid to the poorest countries (Briggs 2017, 2021) and those that are more at risk of climate disasters (Eisenstadt et al. 2021). This effectiveness was showcased when the World Bank and other MDBs had to pick up the pace so that low-income countries did not starve of funds when, in recent years, financial flows those countries slowed down (Fig. 2).

However, this efficiency is related to the Bank's role as a lender of public finance in contrast to this new role of mobilizer of private finance and, as such, it suggests that public financing is more adept at funding climate change adaptation projects than private finance as it is better at targeting the countries that need mitigation and

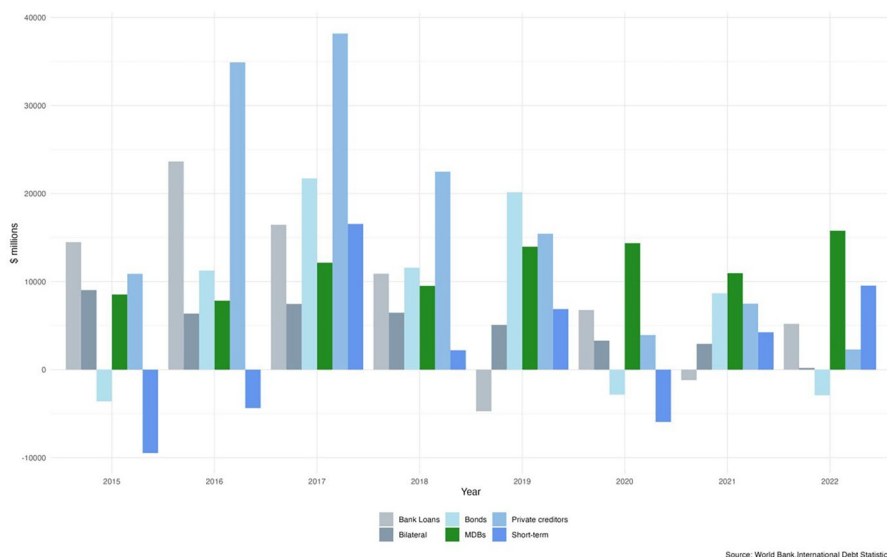


Fig. 2 Sub-Saharan Africa: net debt inflows



adaptation finance the most. On the other hand, my findings show that MFD has a middle-income bias given the lack of interest that low-income and fragile countries generate in institutional investors. This bias toward wealthier countries, however, is not due to institutional design given that, as I mentioned previously, as a corporate strategy *Maximizing for Development* encompasses all of the World Bank's institutions and so was designed to prioritize the mobilization of private capital even in the less developed countries (World Bank 2017a: 3; World Bank 2017c: 43). Moreover, given that cases were selected because the World Bank's diagnostic documents for such countries had an explicit intention of implementing MFD in them, this implies that this strategy is not targeting many of the countries it was designed to help.

Taken together, these solutions display the *cakeism* behind the Bank's Maximizing Finance for Development to resolve its institutional tension but reveals them to still tilts towards its bank-like aspect. Equally, it shows the limits of the derisking state given that public funds used to subsidize private finance are not enough to provide adequate investment opportunities for financiers.

Conclusions

Through this paper, I have argued that the new corporate strategy of the World Bank tries to resolve the tension between bank and developing agency. The Maximizing Finance for Development agenda emphasizes the possibility of identifying projects that address climate vulnerability and offer a sufficiently attractive balance of risk and reward to generate private financial flows to support implementation. However, I have found that the Bank, through this MFD agenda, fails to effectively deliver. From MFD, we see another instance of the World Bank prioritizing its bank-like activities by acting as a mobilizer of finance in a way that does not prioritize the development needs of the most vulnerable. I have demonstrated here that this shift is problematic because there are strong limits to the mobilization capacity of the Bank, given that its Risk-sharing instruments seem insufficient to incentivize private investment in the countries that most need adaptation and mitigation finance. Crucially, the MFD-related dynamics I uncover here contrast with the Bank's previous public finance-based operations that were demonstrated to be highly effective in directing aid to the poorest and more at-risk countries (Briggs 2017; Eisenstadt et al. 2021). This suggests that public financing is more adept at funding climate change adaptation projects than private finance, as these types of higher-risk climate change projects are more likely to be supported when there is no need to 'turn a profit'.

Given this lack of interest of the private sector in investing in poor and at risk countries and how crucial concessional finance from the World Bank and other Multilateral Development Institutions is for developing countries (Fig. 2), in order to achieve its twin goals of ending extreme poverty and promote shared prosperity in a sustainable way it makes sense for the Bank to retrace its steps from being a mobilizer of private finance to a lender of concessional finance as well as increasing its focus in debt relief strategies such as the HIPC initiative not out of generosity but in response of the ecological debt that also exists.



Moreover, I have also contributed empirically to the comparative literature on variation in climate policy by analyzing developing countries, which have been generally overlooked, and finding patterns that explain variations in the use of PCM for climate aligned development. Finally, I have contributed to the literature on the relationship between the Bank and its borrowing countries by going beyond explanations that rely on the presence of ‘sympathetic interlocutors’ as drivers of country engagement with the Bank, and have highlighted the characteristics that the Bank considers for gauging a country’s ‘MFD readiness’ are necessary (i.e. either financial or economic development and lack of debt) and which conditions discourage the use of PCM for climate-aligned development (lack of governance and high levels of debt).

My findings raise but do not solve important questions, thereby indicating several areas for future research. For instance, it is not clear precisely how Maximizing Finance for Development shapes the incentives for financiers to engage with it or to change their investment strategies, so studies taking a complementary focus on these institutions are needed. Moreover, it has been suggested that blended finance instruments can relocate funds from sectors in need into the hands of private shareholders incentivizing ‘tied-aid’, which often prevents recipient countries from benefiting completely from such instruments (Oxfam 2017). As such, there is scope for further research analyzing the nature of financial flows.

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